

March 17, 2026 03:32 PM GMT

Eclat Textile | Asia Pacific

Outshining amid Macro Uncertainty; Stay OW

WHAT'S CHANGED

Eclat Textile (1476.TW)	From	To
Price Target	NT\$565.00	NT\$510.00

We left Eclat's 4Q25 analyst briefing with confidence in the company's solid industry positioning, supported by 1) its product innovation capability that can capture changing demand trends and 2) long-term partnerships with upstream suppliers, supporting its orders and margins amid macro uncertainty.

Despite macro uncertainty, Eclat sees a stable order pattern for now: 2M26 revenue was up >6% YoY (excluding FX impact). Eclat noted that current order visibility is still up to six months, with most customers' inventory pull-in on schedule (albeit 5-10% having earlier shipments). Eclat reiterated its monthly revenue target of >NT\$3.0bn (excluding February) despite recent Middle East conflict. In fact, it noted there could be order transfers from the region, likely in late 2Q26 to 3Q26. Eclat stated that thanks to its exposure to wellness products (i.e., combining function and fashion) given its product innovation capability, it expected to see high-single-digit to low-double-digit (%) YoY growth in garment ASP with fabric ASP up in low single digits (%) in 2026, on top of acquiring new customers. All in, we forecast Eclat's 2026 revenue to grow 14% YoY (vs. 2025's 3%).

The key upside surprise comes from margins: Eclat's 4Q25 GPM was a solid 30.2% (+0.3ppt YoY/+1.5ppt QoQ), with garment GPM at 31.2% (+1.5ppt YoY) thanks to exposure to new products and favorable FX; fabric GPM was 28.0% (-2.2ppt YoY). Eclat noted that its current GPM outlook for 2026 remains in the range of 28-32% but it cited upside potential for this range and will revisit it in mid-2026, indicating strong confidence in its product margins and factory operations. The company noted that current capacity utilization is quite full. Despite rising oil prices, Eclat noted limited need to build more raw material inventory. Spandex yarn price is stable and its multiple sources for polyester and nylon yarn procurement appear to lower pricing pressure for now. We expect Eclat to improve its GPM further to 30.0% in 2026 (vs. 2025's 28.6%) with OPM at 20.6% (vs. 2025's 18.7%), leading net income growth of 27% in 2026.

Revising our earnings forecasts; reiterate OW: We trim our 2026 earnings estimate 5%, mainly to reflect an uncertain outlook given Middle East conflict. Although we are confident in Eclat's earnings outlook given its premium positioning, we lower our target P/E multiple to 20x from 21x to reflect softer market sentiment. We think 4Q25's margin profile shows the resilience of Eclat's fundamentals. P/E is now only 14.5x our revised 2026e earnings (vs. Makalot's 16.9x) – attractive, in our view.

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Eclat Textile (1476.TW, 1476 TT)

Taiwan Consumer and Industrials | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$510.00
Up/downside to price target (%)	37
Shr price, close (Mar 17, 2026)	NT\$371.00
52-Week Range	NT\$508.00-320.00
Sh out, dil, curr (mn)	274
Mkt cap, curr (mn)	NT\$101,790
EV, curr (mn)	NT\$97,737
Avg daily trading value (mn)	NT\$413

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	20.10	25.50	28.65	32.00
Prior EPS (NT\$)**	20.80	26.90	30.15	-
Revenue, net (NT\$ mn)	37,990	43,164	47,562	52,421
EBITDA (NT\$ mn)	7,968	9,891	11,034	12,336
ModelWare net inc (NT \$ mn)	5,515	6,997	7,860	8,781
P/E	19.1	14.5	12.9	11.6
P/BV	3.6	3.2	3.1	2.4
RNOA (%)	22.7	28.9	31.3	35.2
ROE (%)	19.1	23.6	25.1	26.5
EV/EBITDA	12.7	9.8	8.6	7.0
Div yld (%)	4.4	5.2	5.9	0.0
FCF yld ratio (%)**	5.6	6.0	7.6	8.5
Leverage (EOP) (%)	(9.6)	(11.7)	(16.4)	(33.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Eclat: Estimate Revisions Summary

Exhibit 1: Estimate Revisions Summary

P/L Revision (NT\$ mn)	2026E		2027E		2028E	Change (%)	
	Old	New	Old	New	New	2026E	2027E
Net sales	44,500	43,164	49,000	47,562	52,421	-3%	-3%
Gross profit	13,249	12,969	14,677	14,337	15,882	-2%	-2%
Operating profit	9,316	8,906	10,482	9,994	11,246	-4%	-5%
Pretax profit	9,328	8,906	10,497	10,044	11,266	-5%	-4%
Net profit	7,381	6,997	8,273	7,860	8,781	-5%	-5%
EPS (NT\$)	26.90	25.50	30.15	28.65	32.00	-5%	-5%
Key ratios (%)							
Gross margin	29.8%	30.0%	30.0%	30.1%	30.3%	0.3 ppt	0.2 ppt
Operating margin	20.9%	20.6%	21.4%	21.0%	21.5%	-0.3 ppt	-0.4 ppt
Pretax margin	21.0%	20.6%	21.4%	21.1%	21.5%	-0.3 ppt	-0.3 ppt
Net profit margin	16.6%	16.2%	16.9%	16.5%	16.8%	-0.4 ppt	-0.4 ppt

Source: Morgan Stanley Research (E) estimates

We factor in 4Q25 results, introduce 2028E earnings, and revise our forecasts: We lower our sales forecasts 3% each for 2026 and 2027, to factor in the 4Q25 results. Our gross margin estimates for 2026 and 2027 are lifted 0.3 and 0.2ppt, respectively, given improving product mix. However, we lowered OPM forecast 0.3ppt for 2026 and 0.4ppt for 2027 to factor in the 4Q25 results.

Overall, our net income expectations are therefore down 5% each for 2026 and 2027.

Our price target, which is also our base case value, is down to NT\$510 from NT\$565 given the revised 2026e earnings with P/E multiple of 20x down from 21x in view of macro uncertainty. Our bull and bear case values drop to NT\$680 (from NT\$750) and NT\$260 (from NT\$288), respectively, in line with the change in our price target.

Eclat: Consolidated Financials

Exhibit 2: Eclat: Consolidated Financials

Income Statements						Cash Flow Statements					
NT\$ mn	2024	2025	2026E	2027E	2028E	NT\$ mn	2024	2025	2026E	2027E	2028E
Net Sales	36,828	37,990	43,164	47,562	52,421	Cashflow from Operations	4,720	7,570	6,513	8,177	9,098
COGS	(25,400)	(27,108)	(30,195)	(33,225)	(36,538)	Net profits	6,641	5,515	6,997	7,860	8,781
Gross Profit	11,369	10,882	12,969	14,337	15,882	Depreciation & Amortization	886	876	985	1,040	1,089
Operating Exp.	(3,614)	(3,790)	(4,063)	(4,343)	(4,636)	Inv. Gain/Loss (Equity)	-	-	-	-	-
Operating Exp.-Promotion	(1,849)	(1,936)	(2,060)	(2,185)	(2,312)	Disposal of Investment	-	-	-	-	-
Operating Exp.-ADM	(1,593)	(1,678)	(1,814)	(1,960)	(2,118)	Working Capital Change	(2,365)	2,887	(1,470)	(723)	(773)
Operating Exp.-R&D	(171)	(176)	(189)	(197)	(206)	Dec(Incl)-A/R	(1,842)	3,457	(671)	(325)	(350)
Operating Income	7,755	7,092	8,906	9,994	11,246	Dec(Incl)-Inventory	(1,119)	(409)	(1,237)	(617)	(655)
Total non-operating Inc.	596	(126)	-	50	20	Inc(Dec)-A/P	597	(160)	439	219	232
Net Interest Inc.	38	99	(14)	(14)	(14)	Other adjustments	(442)	(1,708)	-	-	-
Net Investment Inc.	-	-	-	-	-	Cashflow from Investing	(792)	(1,866)	(400)	(400)	(400)
Disposal of Investment	-	-	-	-	-	(Purchases) Sale of fixed asset / (capex)	(391)	(369)	(400)	(400)	(400)
Disposal of Fixed Asset	58	(0)	-	-	-	(Purchases) Sale of LT investment	-	-	-	-	-
Exchange Gain (Loss)	448	(266)	-	-	-	(Purchases) Sale of ST investment	-	-	-	-	-
Others Income (Loss)	51	41	14	64	34	Other adjustments	(401)	(1,497)	-	-	-
Pre-tax Income	8,351	6,966	8,906	10,044	11,266	Cashflow from financing	(3,109)	(5,854)	(5,292)	(6,023)	(6,816)
Income Tax	(1,710)	(1,451)	(1,909)	(2,184)	(2,485)	Increase in L-T debt	(563)	-	-	-	-
Net Income before MI	6,641	5,515	6,997	7,860	8,781	Increase in S-T debt	1,181	(1,171)	-	-	-
Extraordinary gain (losses)	-	-	-	-	-	Cash Dividend Paid	(3,704)	(4,664)	(5,292)	(6,023)	(6,816)
Net Income	6,641	5,515	6,997	7,860	8,781	Dir& Emp Bonus Paid	-	-	-	-	-
Adj. wld. avg. shrs (m)	274	274	274	274	274	Issuance of stock	-	-	-	-	-
EPS (NT\$)	24.20	20.10	25.50	28.65	32.00	Other adjustments	-	-	-	-	-
						Exchange rate adjustment	(15)	(59)	-	-	-
						Net change in cash	804	(209)	821	1,754	1,881
Balance Sheets						Financial Ratios					
NT\$ mn	2024	2025	2026E	2027E	2028E	NT\$ mn	2024	2025	2026E	2027E	2028E
Cash	3,618	3,409	4,230	5,965	7,866	Growth%					
Mkt Securities	0	0	0	0	0	Turnover	19.6	3.2	13.6	10.2	10.2
AR/INR (reported)	6,553	3,097	3,768	4,093	4,443	Gross Profit	17.5	-4.3	19.2	10.5	10.8
Inventories	5,522	5,931	7,169	7,786	8,441	Operating Profit	18.4	-8.6	25.6	12.2	12.5
Others	5,815	8,930	8,930	8,930	8,930	Net Profit	28.3	-17.0	26.9	12.3	11.7
Current Assets	21,508	21,367	24,097	26,793	29,679	Margins (%)					
Long-term Investments	0	0	0	0	0	EBITDA	25.0	20.4	22.9	23.3	23.6
Fixed Assets	12,994	12,323	11,738	11,098	10,409	EBIT	22.6	18.1	20.7	21.1	21.5
Other Assets	1,363	1,346	1,346	1,346	1,346	Gross Profit	30.9	28.6	30.0	30.1	30.3
Total Assets	35,865	35,037	37,181	39,237	41,435	Operating Profit	21.1	18.7	20.6	21.0	21.5
S-I Borrowings	1,804	547	547	547	547	Net Profit	18.0	14.5	16.2	16.5	16.8
AP/INP	2,263	2,103	2,542	2,761	2,993	Return (%)					
Other ST liabilities	2,699	2,612	2,612	2,612	2,612	ROA	18.5	15.7	18.8	20.0	21.2
Total Current Liabilities	6,767	5,263	5,702	5,920	6,153	ROE	24.3	0.0	0.0	0.0	0.0
L-I Debt	0	0	0	0	0	Gearing (%)					
Other Liabilities	177	137	137	137	137	Net Debt/Assets	-6.3	-9.7	-11.8	-16.4	-20.8
Total Liabilities	6,943	5,400	5,839	6,057	6,290	Total Liabilities/Total Equity	24.0	18.2	18.6	18.3	17.9
Common Shares	2,744	2,744	2,744	2,744	2,744	Payout Ratio (%)	70.2	74.6	75.6	76.6	77.6
Other Shareholders' Equity	26,178	26,893	28,599	30,436	32,401	A/R Turnover (days)	56	46	29	30	30
Total Equity	28,922	29,637	31,343	33,180	35,145	A/P Turnover (days)	28	29	28	29	29
Total Liab./Shrholdr's Equity	35,865	35,037	37,181	39,237	41,435	Inventory Turnover (days)	71	77	79	82	81
						Cash conversion (days)	99	94	80	83	82

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Eclat Textile (1476.TW)

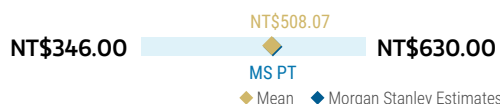
Competitive Edges Stand Out amid Uncertain Macro Conditions

PRICE TARGET NT\$510.00

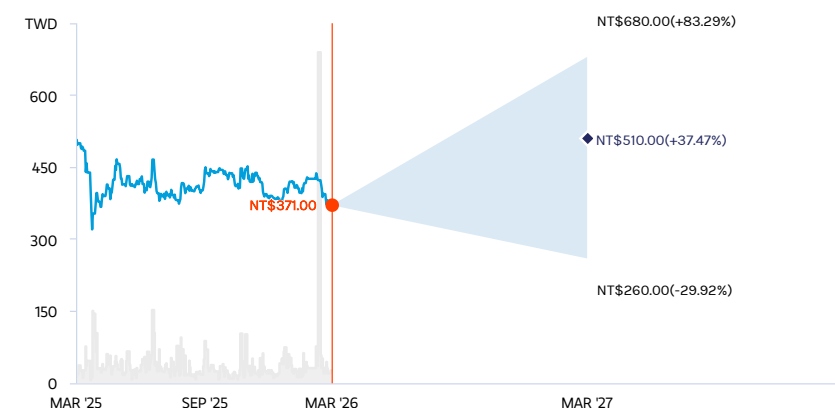
We apply a 20x P/E multiple to our 2026e EPS vs. its 13-37x range since its re-rating in 2015, reasonable in our view, moderately below the historical average of 24x, reflecting our positive stance on its quality growth track, supported by strong R&D capability on top of supply-side consolidation with near-term volatility. We believe an optimistic outlook with both revenue and margin upside should continue to drive the structural up-cycle.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



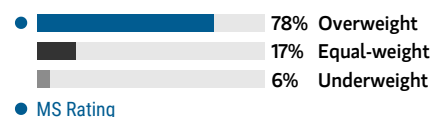
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We appreciate Eclat's prudent approach in managing customer relationships, ongoing product innovation, and seeking quality over quantity.
- We like its position as a major beneficiary of resilient demand for functional wear thanks to rising awareness of health and a major customer's international expansion.
- We believe the stock merits re-rating to 20x 2026e P/E vs. its 13-37x range since its re-rating in 2015.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$680.00

23x 2026e EPS

Faster adoption of knitted fabrics in sportswear; robust growth from high-end orders and new order wins: Eclat gains significant order growth from current customers and expands its customer base aggressively. 2026e gross margin is above 33%.

BASE CASE

NT\$510.00

20x 2026e EPS

Functional fabrics remain the trend for sportswear, while garment growth is good thanks to on-track demand recovery: Eclat remains the leading fabric provider in Taiwan and expands its base with some new customers. 2026e gross margin is 30.0% and operating margin is 20.6%.

BEAR CASE

NT\$260.00

16x 2026e EPS

Eclat faces more competition from Chinese peers; end demand in the US and EU turns sluggish: Chinese peers achieve Eclat's level of quality, so the company has to cut ASP to maintain customer orders. 2026e gross margin falls below 18%.

Risk Reward – Eclat Textile (1476.TW)

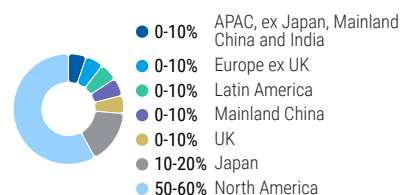
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Garment Shipment Growth (%)	13.3	6.0	7.0	7.0
Garment ASP Growth (%)	(6.3)	9.9	2.7	2.7
GPM of Fabrics (%)	28.5	28.9	29.0	29.2
GPM of Garment (%)	28.7	30.6	30.7	30.8

INVESTMENT DRIVERS

- Evidence of increasing participation in yoga, running activities, and other sports worldwide
- New customer wins
- Fabric/garment capacity expansion

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Favorable FX trends (TWD depreciation vs. USD)
- Market share gains from competitors
- Smooth capacity ramp-ups in Vietnam and Indonesia
- New customers' revenue contribution better than expected

RISKS TO DOWNSIDE

- Deteriorating macro environment
- Changes to brands' sourcing and product strategy
- Failure to execute on innovation
- Weak market sentiment toward the apparel OEM group, pressuring valuation

OWNERSHIP POSITIONING

Inst. Owners, % Active **67.3%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT\$, mn)

38,613	43,164	44,500
	41,082	

EBITDA (NT\$, mn)

8,497	9,891	10,206
	9,142	

Net income (NT\$, mn)

6,166	6,997	7,381
	6,555	

EPS (NT\$)

22.48	25.50	26.90
	23.89	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of February 28, 2026)

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buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1528	41%	444	49%	29%	690	42%
Equal-weight/Hold	1590	43%	374	41%	24%	725	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	588	16%	87	10%	15%	220	13%
Total	3,710		906			1636	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

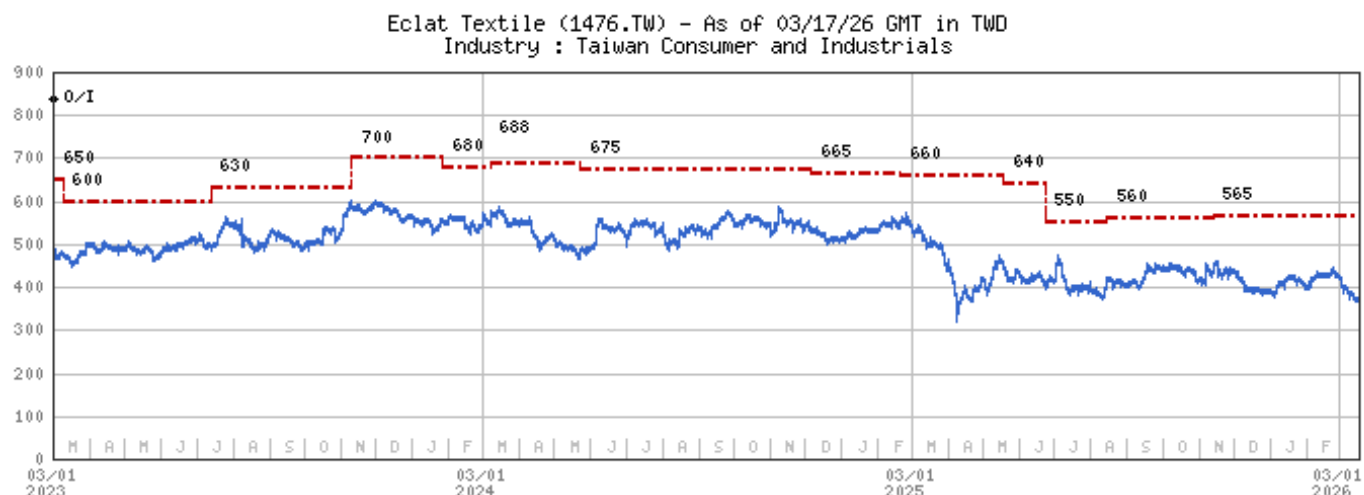
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



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COMPANY (TICKER)	RATING (AS OF)	PRICE* (03/17/2026)
Terence Cheng		
China Airlines Ltd (2610.TW)	E (09/16/2025)	NT\$19.00
Eclat Textile (1476.TW)	O (12/04/2014)	NT\$371.00
Eva Airways Corp (2618.TW)	O (09/16/2025)	NT\$35.70
Feng Tay (9910.TW)	U (02/10/2026)	NT\$82.10
Fulgent Sun International Holding Co Ltd (9802.TW)	E (02/10/2026)	NT\$83.40
Giant Manufacturing (9921.TW)	O (02/02/2026)	NT\$73.60
Lai Yih Footwear Co Ltd (6890.TW)	E (11/24/2025)	NT\$174.50
Makalot Industrial (1477.TW)	O (11/07/2025)	NT\$287.00
Merida Industry (9914.TW)	O (02/02/2026)	NT\$69.40
Momo Com Inc (8454.TW)	U (01/15/2026)	NT\$182.50
Nien Made Enterprise (8464.TW)	E (05/02/2024)	NT\$403.00
Poya International Co Ltd (5904.TWO)	E (01/15/2026)	NT\$514.00
President Chain Store (2912.TW)	U (01/15/2026)	NT\$220.00
Uni-President Enterprises Corp. (1216.TW)	U (01/15/2026)	NT\$70.90

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* Historical prices are not split adjusted.